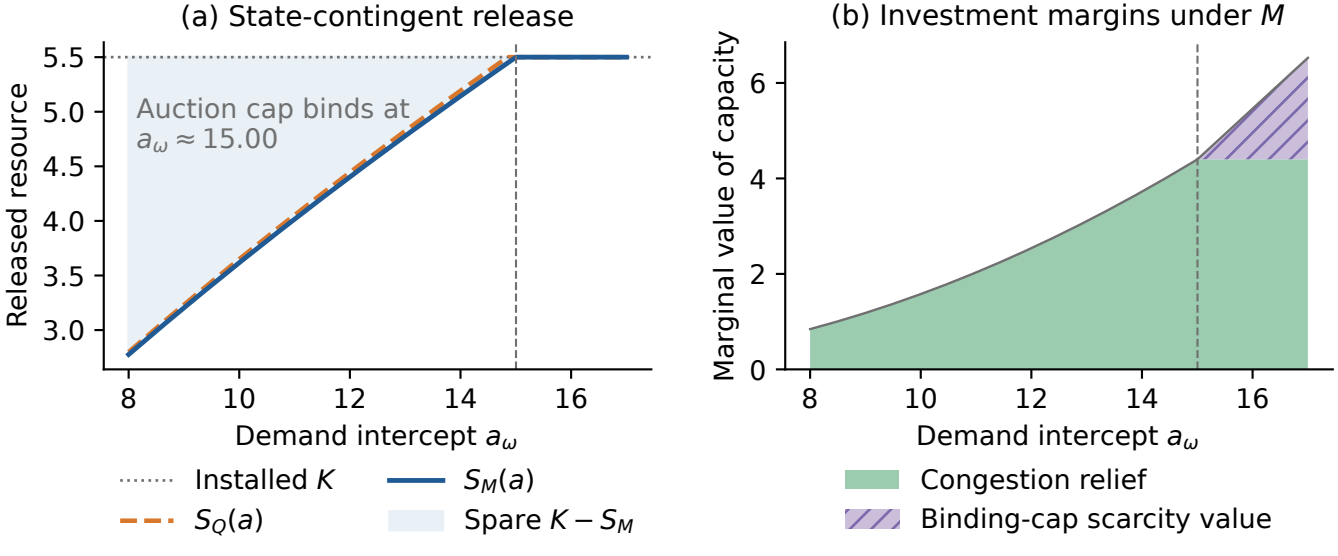
(a) State-contingent release
Released resource
5.5
5.0
4.5
4.0
3.5
3.0
Auction cap binds at
$a_\omega \approx 15.00$
8
10
12
14
16
Demand intercept a_ω
Installed K
$S_M(a)$
$S_Q(a)$
Spare $K - S_M$
(b) Investment margins under M
Marginal value of capacity
6
4
2
0
8
10
12
14
16
Demand intercept a_ω
Congestion relief
Binding-cap scarcity value